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POST INDEPENDENCE DEVELOPMENTS

PLANNING & ECONOMIC DEVELOPMENT

MODULE-18

NEW ECONOMIC POLICIES

ENCOURAGE PRIVATE SECTOR

1. 1954, an economist from Bombay named A. D. Shroff began a Forum of Free Enterprise. He was of the opinion that if the Government of India extended support to the private sector, rapid industrialization could be brought.

2. The economic success of countries such as South Korea, Spain, Singapore, and Taiwan was because these 'newly industrializing countries relied mainly on private sector and the government used to support and encourage it.

3.
- In the 1980s, government in India, encouraged the private enterprises and delicensed key sectors.
- Pro-business policies were adopted to make the Indian industry more profitable and productive.

LPG REFORMS

1. The economy of India had undergone significant policy shifts in the beginning of the 1990s.

2. This new model of economic reforms is commonly known as the LPG or Liberalisation, Privatisation and Globalisation model.

3. The primary objective of this model was to make the economy of India the fastest developing economy to match up with the biggest economies of the world.

4. The chain of reforms that took place with regards to business, manufacturing, and financial services industries targeted at lifting the economy of the country to a more proficient level.

These economic reforms had influenced the overall economic growth of the country in a significant manner.

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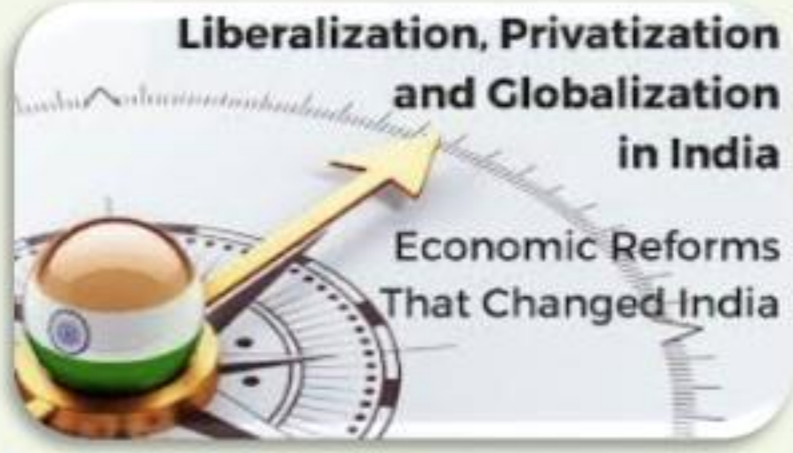
LIBERALISATION

- Liberalization refers to the easing of government regulations.
- It refers to economic and financial reforms which began since 1991.



PRIVATISATION AND GLOBALISATION

- Privatization refers to the participation of private entities in businesses and services and transfer of ownership from the public sector (or government) to the private sector as well.
- Globalization stands for the consolidation of the various economies of the world.

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EIGHTH PLAN (1992 - 97)

BACKGROUND

- The eighth plan was called the 'Rao and Manmohan Plan'
- It was postponed by two years because of political uncertainty at the Centre and rising debt burden
- Worsening Balance of Payment
- Inflationary pressures
- ***fiscal deficit, was at an alarming 8 per cent of gross domestic product***

Under these circumstances, as supported by WTO India opened up its economy.

FOCUS

- 'Human Resource Development'
- Eighth Plan was to transition from a centrally planned economy to a market led economy

OBJECTIVES

The main aim of attaining objectives

- modernization of the industrial sector with a greater role of private sector
- Strengthen infrastructural facilities like energy, power, irrigation
- To increase the technical capacities for developed science and technology
- rise in the employment level
- poverty reduction
- Monitor population growth by creating mass awareness programs
- Universalization of education
- To encourage growth and diversification of agriculture
- self-reliance on domestic resources.

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STEPS TAKEN DRING THE PLAN

The plan undertook drastic policy measures to combat the bad economic situation through introduction of fiscal & economic reforms including liberalisation under the Prime Ministership of Shri P V Narasimha Rao.

- ✓ Rupee was devalued by 23 percent to 45 per dollar and a market determined exchange rate system was adopted.
- ✓ New Industrial Policy was introduced-Delicensing industries, reducing import tariffs, encouraging Foreign investment(to address Balance of Payment issue) and Exports were encouraged with exceptions to were industries critical to the country's defence, and industries hazardous to the environment and to human health, such as cigarette and alcohol manufacture.
- ✓ Foreign direct investment welcomed
- ✓ Domestic market was also freed

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EIGHTH PLAN (1992 - 97)

PLAN OUTLAY

The total Plan outlay for the Eighth Plan was Rs 7,98,100 crores.

ASSESSMENT

- Target Growth: 5.6%
- Actual Growth: 6.8%

- In the first two years, the growth rate was 7.7 percent which later fell because of the Asian Financial Crisis of 1997
- rapid economic growth
- Agriculture grew at 9.3 percent
- high growth of agriculture and allied sector, and manufacturing sector
- growth in exports and imports
- improvement in trade and current account deficit.

According the Economic Survey of 1998, the eighth plan resulted in positive development for employment generation and anti-poverty programs.

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NINTH FIVE YEAR PLAN (1997-2002)

BACKGROUND

- The Ninth Five Year Plan was launched at the 50th year of India's independence.
- After 50years of independence, the Plan seeks to introspect on the achievements and shortcomings of planning in India.
- Prof Amartya Sen suggested focusing on technological development and basic education to focus on human development.
- Unexplored areas like social sectors were used to bring in growth and sustainable development. These can be summarized as bringing 'growth with equity'

NINTH FIVE YEAR PLAN (1997-2002)

OBJECTIVES

The Ninth FYP had the following objectives:

- Focus on the agricultural sector, thereby bring rural development and food security
- Poverty alleviation through addressing the issue of unemployment
- Manage the problem of inflation
- Provide for the basic infrastructural facilities like education for all, safe drinking water, primary health care, transport, energy
- Create a business friendly environment for private investments and encourage public private partnerships

FOCUS

Achieve 'Growth with Social justice' in the context of

- Quality of Life
- Generation of productive Employment
- Regional Balance
- Self Reliance

PLAN OUTLAY

1. For the Ninth FYP, total public sector outlay was Rs. 8,59,200 crores.
2. In addition to this, PM also introduced a Special Action Plan(SAP) of Rs 21,946 crores to develop food and agriculture, physical infrastructure, information technology, water resources policy and health education and housing.
3. The sectoral allocation of the public sector outlay were:
   - Energy -Rs 2,15,545 crore or 25.1 per cent
   - Social services- Rs 1,82,005 crore or 21.2 per cent
   - Transport- 14.1 per cent
   - Rural development- 8.5 per cent
   - Industry and minerals- 8.1 per cent
   - Irrigation and flood control -6.5 per cent
   - Communications- 5.5 per cent
   - Agriculture and allied industries- 4.4 per cent

SHORTCOMINGS

- Asian crisis of 1997 and slowdown of the world economy
- Kargil war
- Poor agricultural performance
- Natural calamities- cyclone in Orissa and earthquake in Gujarat

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STEPS TAKEN DRING THE NINTH PLAN

1. During the first three years of the Plan 43,000 primary schools were opened and 21,000 schools were opened at the upper primary level. The gross enrollment rate at the primary level also increased at 9.06 percent.
2. In the domain of higher and technical education, universities of Science and Technology and Helth Sciences autonomous colleges with autonomous functioning was implemented.
3. The Integrated Rural Development Program (IRDP) concentrated on individual beneficiaries
4. Swarnajayanti Gram Swarojgar Yojna laid emphasis on social mobilization and group formation.
5. District Rural Development Authorities (DRDAs), however, did not adequate skills for social mobilization.

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STEPS TAKEN DRING THE NINTH PLAN

6 The Department of Family Welfare began decentralized planning at the district level based on the assessment of community needs and implementation of program.

7 Seven Zonal Cultural Centers (ZCCs) were set up in various regions to create cultural awareness and promote vanishing folk art traditions in the rural and semi-rural areas.

8
- Centre and states were directed to adopt a special strategy of women's component plan through which 30 percent funds would be provided for women.
- It was to create an enabling environment for women to exercise their rights and achieve women empowerment

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ASSESSMENT OF NINTH FYP

1. Domestic circumstances like frequent change of governments affected economic planning in the first two years of Ninth FYP
2. Target growth rate of Plan was 6.5% but actual growth rate was 5.4%.
3. Growth rate declined particularly in the agriculture and manufacturing sectors.
4. Favorable Balance of payments
5. Exports increased by 5.6 percent
6. Industrial growth was low at 5.28 percent against a target of 8.2 percent. However in trade, we achieved our target of 6.7 percent
7. Transport and Communications performed better than the targets with 3.1 % and 14.1% growth
8. Services sector grew at 11.4 percent against target of 9.9 percent

ASSESSMENT OF NINTH FYP

9 Thus in spite of the slowdown in the initial years, India performed well in the Ninth FYP with mixed responses across sectors.

10 It led to Economic and Social Survey of Asia and Pacific (ESCAP), 2001 released by United Nations labelling India as one of the fastest growing economies in Asia after China, Malaysia, Vietnam and Laos.

11 The Economic Survey, 2000-2001, also observed, "In view of the many changes that have taken place, it is now quite possible for the Indian Economy to attain an even higher growth path."

TENTH PLAN (2002 - 2007)

FOCUS

1 With the increasing population, besides increasing national income, there was also a need for increasing the per capita income along with reducing income inequality.

2
- For accuracy, the Tenth Plan had set 'monitorable targets' especially for some key sectors of the economy.
- These were also aligned with the Millennium Development Goals.

3 The targets included
- reduction in gender gaps in literacy and wage rate
- reduction in Infant & maternal mortality rates
- improvement in literacy
- access to potable drinking water cleaning of major polluted rivers, etc.

TENTH PLAN (2002 - 2007)

OBJECTIVES

- Agriculture and allied sectors to grow at 3.97 percent
- Investor friendly flexible economic reforms with participation of private sector
- Setting up state-of-the-art infrastructure
- Creating of 50 million jobs in five years 1 crore jobs a year
- Reducing poverty by 5 percent
- Reduce Gender discrimination by 50 percent
- Literacy rate to increase by 70 percent and all children to complete 5years of schooling by 2007
- Potable drinking water in all villages.
- Increase forest cover to 25 percent by 2007
- Cleaning all major polluted rivers by 2007
- Capacity building in industry
- Corporate transparency
- Afforestation activities targeting 25 percent forest and trees by 2007.

TENTH PLAN (2002 - 2007)

ASSESSMENT

PLAN OUTLAY

The total plan outlay for Tenth FYP was Rs. 15, 92,300 crore

STEPS TAKEN

- The mobility and the optimization of all the available resources was increased
- Creation of State-of art infrastructure for industries began.
- The Plan suggested policy initiatives regarding public finances to be taken up at Central and state level.

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TENTH PLAN (2002 - 2007)

ASSESSMENT

1
- The plan recorded the highest growth percentage of 7.7
- percent as compared to all other previous plan, although the target was 8 percent
- The industrial growth – 8.6 %
- National Income increased- 7.6 %
- Per capita Income – 6%
- Governance was seen as an important aspect of development
- Policy and institutional reforms were brought in all sectors

2
- Thus by the end of the Tenth FYP, India was regarded as one of the fastest growing economies.
- The investment as well as savings rates in the country had increased. India was a global competitor in the industrial sector.

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ELEVENTH PLAN (2007 - 2012)

FOCUS

- In spite of the high growth rate, in the Tenth FYP, the growth did not reach to all sections of the society like SC, ST, and Minorities.
- On social standards as well, the country suffered from issues like poverty, malnutrition, mortality etc.
- Hence it was time "Faster and Inclusive Growth' as the target of the Eleventh FYP

OBJECTIVES

Thus with a Target Growth of 9 % the Eleventh FYP aimed to achieve broad visions

- rapid growth reducing poverty & creating employment opportunities
- access to essential services in health & education, specially for the poor
- extension if employment opportunities using National Rural Employment Guarantee Program
- environmental sustainability
- reduction of gender inequality etc.

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ELEVENTH PLAN (2007 - 2012)

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SHORTCOMINGS

- The Eleventh Plan experienced the global financial crisis in 2008-09 and also the Sovereign debt crisis of Europe in
- The economy recovered substantially to register growth 2011.
- The domestic challenges faced by Indian economy-
  - ➢ Tight monetary policy
  - ➢ supply side bottlenecks

STEPS TAKEN

- Development of Water Management policy
- Focus on health, education and skill development
- Optimum utilization of resources
- Development of Infrastructure facilities

ELEVENTH PLAN (2007 - 2012)

ASSESSMENT

These greatly affected India's growth rate bringing it 8 percent.

To sustain in the financial crisis, government introduced expansionary measures on the fiscal front

- The plan achieved rapid and inclusive growth
- It performed well in the areas of education and skill development, reducing gender inequality
- Connecting villages by telephones and providing broadband services to villages
- The plan worked towards providing environmental sustainability.

Sectoral growth rates:

- Agriculture - 3.7 percent
- Industry - 7.2 percent
- Services - 9.7 percent

POST INDEPENDENCE DEVELOPMENTS

TWELFTH FIVE YEAR PLAN (2012-17)

FOCUS

In the backdrop of the financial crisis, the priorities of Twelfth FYP were-

- 'Faster, Sustainable, and More Inclusive Growth'.
- Inclusiveness to be achieved through poverty reduction, promoting group equality and regional balance, reducing inequality.
- Sustainability to encompass environmental sustainability development of human capital through improved health, education, skill development, nutrition, information technology
- Development of institutional capabilities , infrastructure like power telecommunication, roads, transport.

TWELFTH FIVE YEAR PLAN (2012-17)

OBJECTIVES

The Twelfth FYP aimed to achieve

- GDP growth rate of 8 percent
- Agriculture growth of 4 percent
- Generating employment opportunities in Non-farm sector
- Eliminating gender and social gap in education
- Increasing infrastructure investment to 9 percent of GDP
- Reducing IMR,MMR
- Reduce Carbon emission levels by 2020 through a National Action Plan
- Concentrate on the completion of Eastern and Western Dedicated Freight Corridor

NITI AAYOG

The Government of India replaced the Planning Commission and its Five Year Plans with The National Institution for Transforming India or NITI Aayog on 1 January 2015 through a resolution of the Union Cabinet.

OBJECTIVES

The Objectives of establishing NITI Aayog-

- To serve as a 'Think Tank' to provide policy and directional inputs.
- Advice Central and State governments in policy formulation and implementation.
- Further the principle of Cooperative federalism and enhance coordination and cooperation between the Union and States
- Serve the needs and aspirations of the people.
- PM is the Chairman of the Governing Council and also includes Chief Ministers of States and LT. Governors of UTs.

Rajiv Kumar

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ASSESSMENT OF ECONOMIC DEVELOPMENT

For years, the Indian economy had expanded at the Hindu rate of growth. Naturally, the growth has been uneven, with some parts of the economy doing better than others.

1. AGRICULTURE

1. The majority of the poor people in India, however, live in the villages. For the fruits of economic liberalization have scarcely percolated into the countryside. Agricultural growth was painfully slow during the 1990s.

2.
   - There were some attempts at the diversification of crops, at growing fruit and vegetables for the domestic market, and flowers for export.
   - Yet these moves were limited in their success, largely because of deficiencies in infrastructure, i.e. the lack of electricity to process crops or keep them in storage, and the lack of roads to take them to the market.

POST INDEPENDENCE DEVELOPMENTS

ASSESSMENT OF ECONOMIC DEVELOPMENT

3 In spite of years after independence, a mere 40 per cent of cultivated area was under irrigation.

4 For most farmers, the uncertainties caused by the year-to-year fluctuation in rainfall.

5 In the last years of the twentieth century the first farmers' suicides were reported.

6 One reason for the continuing poverty is the government's poor record in providing basic services such as education and health care.

7 India lagged behind not merely the developed nations of the West, but also some of its Asian neighbors: Sri Lanka had educated 89 per cent of its women and 94 per cent of its men, while the corresponding figures for China were 75 and 96 per cent.

POST INDEPENDENCE DEVELOPMENTS

ASSESSMENT OF ECONOMIC DEVELOPMENT

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2. MANUFACTURING

1. The reforms of the 1990s have also had an impact on the manufacturing sector. Increased competition and the entry of foreign firms has led to greater productivity and lower prices, benefiting the domestic consumer.
2. Some Indian industries have seized on opportunities offered by the opening of international markets.
3. Another growth area is pharmaceuticals. Medicines exported by Indian companies were valued at $1,000 million in 2003 – these included drugs made according to modern pharmacopoeia as well as those following the indigenous Ayurveda system.
4. The opening of the economy also led to many foreign firms coming in to tap the Indian market. Between 1991 and 2000 the government approved more than 10,000 investment proposals by foreign companies.
5. They spanned the range from telecommunications to chemicals, and from food processing to paper products.

ASSESSMENT OF ECONOMIC DEVELOPMENT

3. SERVICE SECTOR

1. The most significant expansion has been in the services sector, which grew at an average of 8.1 per cent a year through the 1990s.

2. Much of this was contributed by the software industry, Much of this expansion was aimed at the overseas market. 'India's greatest asset is a large, educated, English-speaking workforce that is willing to work at relatively low wages'

3. 'India's greatest asset is a large, educated, English-speaking workforce that is willing to work at relatively low wages', medical tests of patients in US hospitals are sent to be analysed by Indian radiologists and pathologists.

4. Also, call-centre market in which young Indians are employed to stay up all night to take calls from holders of Western credit cards, or to book seats on Western planes and trains.

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ASSESSMENT OF ECONOMIC DEVELOPMENT

4. MIDDLE CLASS

1. This new middle class is the prime target of the new products and services that have entered the Indian market in recent years. consequence of the recent economic growth has been a decline in the percentage of Indians who live below the official poverty line.

2. Still there are huge number of poor people in India , most of them located in the Indian cities. 'India's greatest asset is a large, educated, English-speaking workforce that is willing to work at relatively low wages'.

3. 'India's greatest asset is a large, educated, English-speaking workforce that is willing to work at relatively low wages'

4. The targeting was inefficient; grain from the Public Distribution System (PDS) more easily reached urban areas than rural ones, and rich states than poor ones. And there was terrific corruption.

ASSESSMENT OF ECONOMIC DEVELOPMENT

5. RURAL- URBAN MIGRATION

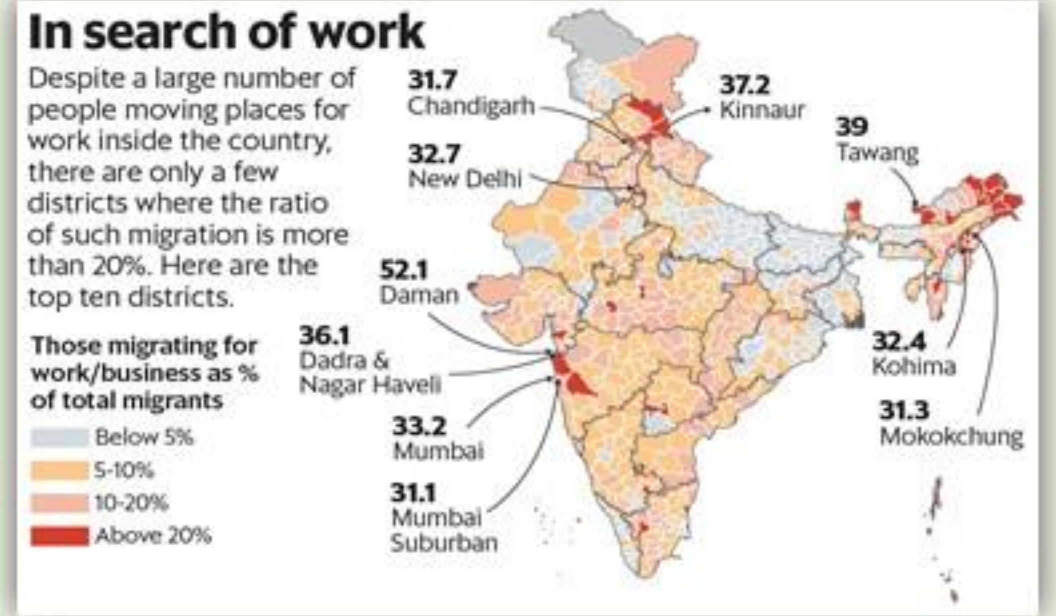
1. One consequence of these disparities is the growing migration from poorer areas to richer ones.
2. They increasingly travelled long distances for a living.
3. Economic growth in contemporary India is marked by considerable disparities of region and class.

ASSESSMENT OF ECONOMIC DEVELOPMENT

5. RURAL-URBAN MIGRATION

4 In 2005 Employment Guarantee Scheme (EGS) was implemented, under which the state would commit itself to providing gainful employment to those who needed it, by putting them to work on schemes for soil and water conservation, road-building and the like.

5 The growing size of the Indian economy has prompted some noticeable shifts in foreign policy, among them a growing friendship with the United States.



As per 2011 census

ASSESSMENT OF ECONOMIC DEVELOPMENT

6. TRIBAL POPULATION

1. Among those who have suffered from economic liberalization, the tribals population of states like Orissa.

2. With respect to land, income, health facilities or literacy rate, they lag behind in the state as a whole.

3. The tribals are heavily dependent on the monsoon and on the forests for survival.

4. With the woods disappearing, and the rains sometimes failing, they have plunged deeper into poverty, as manifested periodically in deaths from starvation. 'India's greatest asset is a large, educated, English-speaking workforce that is willing to work at relatively low wages'.

ASSESSMENT OF ECONOMIC DEVELOPMENT

CRITICS

1. Reforms were untouched in several areas
   - Labor laws remained rigid.
   - Barriers to entry though removed, barriers to exit remained.
   - The bureaucratic control still remained.

2. Nonetheless, the changes in economic policy constituted a major departure from past policies.

3. In countries such as South Korea, the discipline of the market and the openness to foreign capital had led to a surge of wealth and productivity.

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